Ind AS 103 — Business Combinations

Part A: Ind AS 103 (§1–32) · Part B: Ind AS 110 control & rules (§33–42) · Part C: consolidation, stake changes, practice (§43–56)

1 Key definitions Appendix A

Business combination — a transaction or other event in which an **acquirer obtains control** of one or more **businesses**. "True mergers" and "mergers of equals" are also business combinations. → Two tests: **control obtained** + **what is acquired is a business**.

Acquirer — the entity that obtains control of the acquiree. **Acquiree** — the business(es) the acquirer obtains control of. **Acquisition date** — the date on which the acquirer obtains control.

Contingent consideration — usually an obligation of the acquirer to transfer additional assets or equity to the former owners **if specified future events occur or conditions are met**; may also be a right to the return of consideration.

Goodwill — an asset representing future economic benefits from other assets acquired that are **not individually identified and separately recognised**.

Identifiable — an asset is identifiable if it (a) is **separable** (can be sold, transferred, licensed, rented or exchanged, alone or with a related item), **or** (b) arises from **contractual or other legal rights**, whether or not transferable or separable.

Non-controlling interest (NCI) — equity in a subsidiary not attributable, directly or indirectly, to the parent. **Fair value** — price to sell an asset / transfer a liability in an orderly transaction between market participants at the measurement date (Ind AS 113).

2 How control can be obtained B5–B6

Ways (B5)

- → transferring cash, cash equivalents or other assets (incl. net assets that form a business)
- → incurring liabilities
- → issuing equity interests
- → more than one type of consideration
- → **without transferring consideration** — incl. by contract alone (para 43)

Legal structures (B6)

- → one or more businesses become **subsidiaries** of the acquirer
- → one entity's **net assets are legally merged** into another
- → owners of one entity transfer their interests to another / its owners
- → all combining entities transfer to a **newly formed entity** (roll-up / put-together)
- → a group of former owners of one entity obtains control of the combined entity

③ Scope — Ind AS 103 does NOT apply to 2

Excluded	Instead
(a) Formation of a **joint arrangement** — in the FS of the joint arrangement itself	Ind AS 111
(b) Acquisition of an **asset or group of assets that is not a business**	**Asset acquisition** (box below)
(c) Combination of entities / businesses under **common control**	**Appendix C** — pooling of interests (§27–29)
(d) Acquisition by an **investment entity** of a subsidiary required to be at FVTPL	Ind AS 110 · Ind AS 109

Asset acquisition — how to account 2(b)

Identify and recognise each identifiable asset (incl. intangibles meeting Ind AS 38) and liability → **allocate the cost of the group by relative fair values** on the date of purchase → **no goodwill**, no bargain purchase gain. (Deferred tax initial-recognition exemption applies — no DTL/DTA on day 1.)

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SM Illustration 1: equipment (FV 500) + patent (FV 1,000) bought for cash 1,000 + land (FV 400, carrying 100) for a product just commercialised → **not a business**. Cost = FV given = 1,400 (land FV more reliable). Equipment 500/1,500 × 1,400 = **467**; patent 1,000/1,500 × 1,400 = **933**; gain on land 400 − 100 = **300 to P&L**.

④ Business App A · B7–B12D

> **Business** — an **integrated set of activities and assets** that is **capable of being conducted and managed** for the purpose of **providing goods or services to customers**, generating **investment income** (dividends, interest) or generating **other income from ordinary activities**.

A business consists of **inputs** and **processes applied to those inputs** that have the ability to contribute to the creation of **outputs** B7:

Element	Definition (B7)	Examples
Input	Any **economic resource** that creates outputs, or has the ability to contribute to the creation of outputs **when one or more processes are applied to it**.	Non-current assets (incl. intangibles, right-of-use assets), intellectual property, ability to access necessary materials or rights, **employees**.
Process	Any **system, standard, protocol, convention or rule** that, when applied to an input, creates outputs or has the ability to contribute to creating outputs.	Strategic management, operational and resource management processes. Usually documented — **but an organised workforce** with the necessary skills and experience, following rules and conventions, **can itself provide the process**.
Output	The result of inputs and processes applied to them that **provides goods or services to customers**, generates **investment income** or **other income from ordinary activities**.	Revenue from customers, dividends, interest. (Cost savings alone are **not** output.)

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> ⚠ **TRAP**
> ***Not processes:*** *accounting, billing, payroll and other* ***administrative systems*** *— they are not processes used to create outputs* B7(b).

Minimum requirement B8 · B8A · B9 · B11

- → *To be a business, the set must include,* ***at a minimum, an input and a substantive process that together significantly contribute to the ability to create output.***
- → ***Outputs are not required*** *— an early-stage set with no revenue can still be a business.*
- → *It* ***need not include all*** *the inputs or processes the seller used.*
- → *If the set has outputs,* ***continuing revenue alone does not prove*** *that an input and a substantive process were acquired* B8A.
- → *A business* ***need not have liabilities*** B9.
- → *Judge as a* ***market participant*** *would: irrelevant whether the seller ran it as a business or whether the acquirer intends to* B11.

5 Is the process "substantive"? B12A–B12D

Situation	The acquired process is substantive only if…
No outputs *at acquisition date* B12B	*(a) it is* ***critical*** *to the ability to develop or convert the acquired input(s) into outputs,* ***and*** *(b) the inputs acquired include* ***both*** *an* ***organised workforce*** *with the necessary skills, knowledge or experience to perform that process* ***and*** *other inputs that workforce could develop or convert into outputs (e.g. IP, technology, in-process R&D, real estate, mineral interests).* ***Manpower is compulsory here.***
Has outputs *at acquisition date* B12C	*Either (a) it is* ***critical*** *to the ability to* ***continue*** *producing outputs* ***and*** *the inputs include an* ***organised workforce*** *able to perform it;* ***or*** *(b) it* ***significantly contributes*** *to continuing outputs* ***and*** *is (i)* ***unique or scarce****, or (ii)* ***cannot be replaced without significant cost, effort or delay****.* ***Route (b) needs no workforce.***

Further points B12D

- → *An* ***acquired contract is an input, not a substantive process****. But a contract (e.g. outsourced property or asset management) may give access to an organised workforce — then check whether that workforce performs a substantive process* ***the entity controls*** *(look at duration and renewal terms).*
- → ***Difficulty in replacing*** *an acquired organised workforce may show it performs a* ***critical*** *process.*
- → *A process is* ***not critical*** *if it is* ***ancillary or minor*** *in the context of all processes needed to create outputs.*

SEP 2025 MCQ

⑥ The optional concentration test B7A–B7C

- → **Optional**, chosen **transaction by transaction**. Use it first — it is a quick exit.
- → **Met** if **substantially all of the fair value of the gross assets acquired** is concentrated in a **single identifiable asset** or a **group of similar identifiable assets** → set is **NOT a business** → asset acquisition, **no further assessment**.
- → **Not met** (or not applied) → **does not mean** it is a business → do the full B8–B12D assessment (§4–5).
- → "**Substantially all**" has **no % in the standard** — judgement. In practice it is commonly read as about **90% or more** (so if other assets are more than about 10% of gross assets, the test usually fails). (Practice guide, not the standard's words.)

Step 1 · Fair value of gross assets acquired B7B(a)–(b)

Gross assets = Consideration (FV) + FV of NCI + FV of previously held interest + FV of liabilities assumed (other than DTL)

then EXCLUDE: cash & cash equivalents · deferred tax assets · goodwill arising from the effect of DTL

- → Gross assets **include** any consideration (+ NCI + old stake) in excess of the FV of net identifiable assets — i.e. the "goodwill" element is in the denominator.
- → If the FV of gross assets is more than this total, a more precise calculation may be needed.

Step 2 · What counts as a single asset / similar assets B7B(c)–(f)

- → **Single identifiable asset** = anything recognised and measured as one asset in a business combination.
- → A tangible asset **attached** to another (or to a leased asset) that can't be removed and used separately without significant cost or loss of utility/FV → **one asset** (e.g. **land + building**, building + fittings).
- → **Similar**: consider the **nature** of each asset and the **risks** of managing it and creating outputs from it.

Never "similar" B7B(f)
Tangible vs intangible assets
Tangible assets of **different classes** (inventory, manufacturing equipment, cars) — unless attached as above
Intangibles of **different classes** (brand names, licences, intangibles under development)
Financial vs non-financial assets · financial assets of different classes (receivables vs equity investments)
Assets in the **same class** but with **significantly different risk characteristics**

Worked example (app-written) ·

Buy 100% of S for ₹1,000. S's liabilities ₹140 (no DTL), cash ₹60, DTA ₹20. S owns 10 rented houses (each land + building = one asset; same class, same risks → similar) FV ₹1,000, and office equipment ₹20.

Gross assets = 1,000 + 140 − 60 − 20 = **1,060** · Houses = 1,000 ÷ 1,060 = **94%** → substantially all → **asset acquisition**. Had S also held a shopping mall of ₹300 (different risks), houses = 1,000 ÷ 1,360 = 74% → test fails → do the full assessment.

⑦ Decision path in the exam

1. Run the **concentration test** → met? → asset acquisition. Stop.
2. Does the set have **outputs**? → No: apply **B12B** (workforce compulsory). Yes: apply **B12C**.
3. Input + substantive process present? → **business** → **Ind AS 103**. Else → asset acquisition.

SEP 2025 MCQ

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PYQ Sep 2025 MCQ 12: Hans buys 100% of MNO, which owns 3 investment properties (single-tenant warehouses on long leases, FV ₹700 lakh). Maintenance and security are **outsourced**; the part-time executive who handled leases **does not transfer**. → **Asset purchase (C)**: similar properties dominate the FV, outsourced contracts are inputs, not substantive processes, and no organised workforce is acquired. (Variant of SM Example 4.)

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SM Illustration 2: pharma company with skilled R&D workforce, patents, an approved plant, no revenue yet → **business** (inputs + processes; no revenue is irrelevant). **Illustration 3:** buyer takes everything except the sales force → ICAI: **still a business** if the missing sales force can easily be obtained (or the buyer has one).

8 The acquisition method — 4 steps 4–5

(1) Identify the acquirer → **(2)** Determine the acquisition date → **(3)** Recognise and measure identifiable assets, liabilities and NCI → **(4)** Recognise and measure goodwill or bargain purchase gain.

9 Step 1 — Identify the acquirer 6–7 · B13–B18

Use **Ind AS 110** (who obtains control). If still unclear, use B14–B18:

Indicator	The acquirer is usually…
Cash / assets / liabilities given B14	the entity that **transfers the cash or other assets or incurs the liabilities**
Equity exchanged B15	the entity that **issues** its equity — **but** not in a reverse acquisition; also weigh (a)–(e):
(a) Relative voting rights	whose owners as a group retain/receive the **largest portion of voting rights** in the combined entity (consider special voting arrangements, options, warrants, convertibles)
(b) Large minority interest	whose single owner / organised group holds the **largest minority voting interest**, if no other owner has a significant interest
(c) Governing body	whose owners can **elect, appoint or remove a majority of the board**
(d) Senior management	whose (former) management **dominates** the combined management
(e) Terms of exchange	the entity that **pays a premium** over the pre-combination FV of the other's equity
Relative size B16	the entity whose **size** (assets, revenue, profit) is **significantly greater**
More than 2 entities B17	also consider who **initiated** the combination and relative size
New entity formed B18	a NewCo formed **to issue equity** is **not** the acquirer — pick one of the existing entities. A NewCo that **pays cash** may be the acquirer.

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Illus. 5: NewCo Meera issues 100 shares to Veera's and 50 to Zeera's shareholders → Veera's owners get 67% → **Veera is the acquirer** (not Meera). **Illus. 6:** NewCo Super Ltd., funded by a bank loan, **pays cash** for 100% of Focus and controls its board → **Super Ltd. can be the acquirer**. **Illus. 4:** 40% + a currently exercisable option for 25% more (small premium) → **potential voting rights are substantive** → **control**.

10 Reverse acquisition B19–B27

- → **Legal acquirer** (issues shares) = **accounting acquiree**. **Legal acquiree** = **accounting acquirer**. The accounting acquiree must be a **business**. (e.g. private company reverse-merges into a listed shell)
- → **Consideration** = FV of the number of shares the **legal subsidiary would have had to issue** to give the legal parent's owners the **same %** in the combined entity B20 (or the more reliable measure — e.g. legal parent's quoted price).
- → Consolidated FS are issued in the **legal parent's name** but are a **continuation of the legal subsidiary's FS** B21–B22: legal subsidiary's assets/liabilities at **pre-combination carrying amounts**; legal parent's at **FV**; retained earnings = **legal subsidiary's**; equity **amount** = legal subsidiary's issued equity + FV of the legal parent; equity **structure** (number and type of shares) = **legal parent's**; comparatives = legal subsidiary's.
- → Owners of the legal subsidiary who **don't exchange** their shares → **NCI** at their share of the legal subsidiary's **pre-combination carrying amounts** B23–B24.
- → **EPS** B25–B27: shares before acquisition date = legal subsidiary's weighted shares × exchange ratio; after = actual shares of the legal parent.

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SM TYK 2: A issues 150 shares for B's 60 (2.5 : 1) → B's owners hold 150/250 = **60%** → reverse acquisition. B would have issued **40 shares** (60 ÷ 60% − 60) × ₹40 = **₹1,600** consideration. A's net assets at FV = 500 + 1,500 − 700 = 1,300 → **goodwill ₹300**.

11 Step 2 — Acquisition date 8–9

- → = the date the acquirer **obtains control**. Usually the **closing date** (consideration transferred, assets acquired, liabilities assumed) — but can be **earlier** (written agreement gives control before closing) or **later**.
- → Not the "appointed date", "effective date", agreement date or payment date as such. Profits "from 1 January" by agreement don't move the date.
- → Court / NCLT schemes and regulatory approvals (CCI): control usually passes only after **substantive approvals**.

ICAI illustration	Acquisition date
Illus. 7 — non-binding letter of intent, closing in 2 months	**LOI ≠ control**
Illus. 8 — binding deal gives control 1 Apr; shares need shareholder approval 30 Apr, else cash	**1 April** (cash fallback)
Illus. 9 — deal "effective 1 Jan", price on 1 Jan net assets, power from 1 Mar	**1 March**
Illus. 10 — terms agreed, CCI approval pending	Not before **CCI approval**
Illus. 39 — shareholder approval 10 Jun, shares allotted 15 Jun	**15 June**; consideration 12,000 × ₹90 = ₹10,80,000

12 Consideration transferred 37–40

Consideration = acquisition-date FV of assets transferred + liabilities incurred to former owners + equity interests issued (+ contingent consideration)

→ **Shares issued** at **market price on the acquisition date**. **Deferred cash** at **present value**; unwinding = finance cost.

→ **Non-monetary assets given** (land, shares of another company): remeasure to FV, gain/loss in **P&L** — **unless** they stay inside the combined entity (e.g. transferred to the acquiree) → carrying amount, no gain 38.

→ **Replacement share-based awards** → Ind AS 102 market-based measure (§25).

Contingent consideration 39–40 · 58

Stage	Treatment
Day 1	Recognise at **FV** as part of consideration (even if payment is not probable). Classify under **Ind AS 32**: fixed number of own shares → **equity**; cash or variable shares → **liability**. Right to return of consideration → **asset**.
Later — new info about **day-1 facts** within 12 months	Measurement-period adjustment → **goodwill**
Later — **post-acquisition events** (target met, share price moved)	**Equity**: not remeasured; settlement within equity. **Liability/asset**: remeasure at **FV through P&L**. Goodwill **never** changes.

ICAI ·

SM TYK 10: 10 lakh shares now (FV ₹20) + **2 lakh more shares** if PBIT > ₹1 crore (FV ₹25 lakh) → fixed number → **equity**; consideration ₹2.25 crore; **not remeasured** when share price rises to ₹25. Variant: shares worth **₹40 lakh (variable number)** → **liability** ₹25 lakh → remeasured; ₹15 lakh **loss to P&L**.

ICAI ·

SM TYK 1: cash 59,00,000 + 1,00,000 shares × ₹10 + contingent (FV) 3,00,000 + old 25% stake at FV 20,00,000 = **92,00,000**; NCI (FV) 7,50,000; net assets 60,00,000 → **goodwill 39,50,000**. Old stake: 20,00,000 − 6,00,000 = **14,00,000 gain in P&L**. Costs 1,00,000 → expense.

13 Acquisition-related costs 53

→ **Expense** in the period incurred: finder's fees; advisory, legal, accounting, valuation and other professional or consulting fees; general admin costs incl. an internal acquisitions department. The list is **inclusive**.

→ **Exception:** costs to issue **equity** → deduct from equity (Ind AS 32); costs to issue **debt** → in the effective interest rate (Ind AS 109).

ICAI ·

Illus. 13: stamp duty on land acquired in a business combination → **expense** (unlike Ind AS 16 for a separate purchase).

Illus. 14: one-time payment to a regulator to transfer a spectrum licence → **acquisition cost, expense** (bought separately, Ind AS 38 would capitalise it).

14 Business combination achieved in stages 41-42

- → Acquirer held an equity interest **before** getting control (e.g. 30% associate, 5% FVOCI investment, joint operation interest).
- → On the acquisition date: **remeasure** the previously held interest to **FV** → gain/loss in **P&L** (or OCI where appropriate).
- → Amounts already in **OCI** for that interest: treat as if the interest were **disposed of directly** — FCTR from an associate → P&L; revaluation surplus → RE; **FVOCI equity gains stay in OCI** (never recycled; may move to RE).
- → That FV goes into the goodwill formula.

ICAI ·

SM TYK 5: 5% held at FVOCI (FV 1,05,000; gain 5,000 in OCI), then 95% bought → 5,000 **stays in OCI**; 1,05,000 + consideration for 95% goes into goodwill. **SM Illus. 11:** 30% associate with share of P&L 700, FCTR 100, revaluation 50 → on control, FCTR 100 → **P&L**; revaluation 50 → **RE**; plus remeasurement gain to P&L.

15 Control without transferring consideration 43-44

- → (a) acquiree **buys back its own shares** so an existing investor gets control; (b) **minority veto rights lapse**; (c) **combination by contract alone** (stapling, dual-listed company).
- → By contract alone: the acquiree's equity is attributed to **NCI** (may be 100%); goodwill uses the **acquisition-date FV of the acquirer's interest** in place of consideration 33.

ICAI ·

Illus. 12: Sita and Beta form a dual-listed corporation; Sita has 6 of 10 board seats → **Sita is acquirer**. Consideration nil; Beta's FV 80 as NCI (FV method); net assets 70 → **goodwill 10**.

16 Step 3 — Recognition principle 10-17

- → Recognise, **separately from goodwill**, identifiable assets acquired, liabilities assumed and NCI.
- → **Condition 1** — must meet the definitions of asset and liability in the **Framework for Preparation and Presentation of FS** (not the 2021 Conceptual Framework). Planned **restructuring/exit costs** the acquirer isn't obliged to incur are **not liabilities** → post-combination expense.
- → **Condition 2** — must be **part of what was exchanged** — not a separate transaction (§23).
- → Items the acquiree **never recognised** can be recognised: internally generated brands, patents, customer relationships.
- → **Classification / designation** made on **acquisition-date conditions** (financial asset categories, hedges, embedded derivatives) 15-16. **Exceptions:** leases where acquiree is **lessor** (operating vs finance) and insurance contracts — classify on **inception** terms 17.

Identifiable intangible assets B31-B34 · B37-B40

- → Recognise separately from goodwill if it meets the **contractual-legal criterion** (even if not separable) **or** the **separability criterion** (capable of being sold, licensed, rented, exchanged — alone or with a related contract/asset/liability; evidence of exchange for similar items is enough).
- → **Not identifiable** → **subsumed in goodwill: assembled workforce**; **potential contracts** under negotiation at acquisition date.
- → **In-process R&D** acquired in a combination: Ind AS 38 recognition criteria (probable benefits, reliable measurement) are **always treated as met** → recognise at FV.

ICAI ·

Illus. 17: e-commerce company's list of 10 million users, no intention to sell → still **separable** (could be transferred) → **recognise** intangible; intention is irrelevant. **Illus. 18:** two drugs in development (one approved, one awaiting approval) → **both** recognised as intangibles at FV.

Reacquired rights 29 · B35-B36 · 55

- → A right the acquirer had granted to the acquiree (franchise, licence) → **intangible**, measured on the **remaining contractual term only** (no renewals); amortise over that term.
- → If the contract was **favourable/unfavourable** vs market → settlement gain/loss (pre-existing relationship rules, §23).

ICAI ·

Illus. 19: franchise at market terms → reacquired right recognised, **no gain/loss**. **Illus. 20:** licence unfavourable to acquirer by 3,00,000 (market 4,50,000 vs 1,50,000 unamortised); settlement clause 1,80,000 → **loss = lower = 1,80,000**; licence recognised at 4,50,000.

17 Measurement principle 18 · B41-B45

- → Measure identifiable assets and liabilities at **acquisition-date fair value**.
- → **No separate valuation allowance** for receivables/loans — credit risk is inside their FV B41.
- → Assets the acquirer **doesn't intend to use** (defensive brands) — still at FV by **market participant** use B43.
- → Acquiree is a **lessor**: asset subject to an operating lease measured at FV taking the lease terms into account (no separate lease asset/liability) B42.

18 The exceptions 21-31A

Type	Item	Rule
Recognition only	**Contingent liabilities** 22-23	Recognise if a **present obligation from past events** whose **FV can be measured reliably — even if outflow is not probable** (Ind AS 37 probability test doesn't apply). Possible obligations are **not** recognised. Later: higher of Ind AS 37 amount and initial amount less cumulative income 56.
Recognition and measurement	Income taxes 24-25	**Ind AS 12** — deferred tax on FV adjustments and on the acquiree's carry-forward losses.
	Employee benefits 26	**Ind AS 19**.
	Indemnification assets 27-28	Seller indemnifies a specific liability → asset on the **same basis** as the indemnified item, subject to collectability and **contractual limits**.
	Leases — acquiree is **lessee** 28A-28B	Lease liability = **PV of remaining lease payments** as if a new lease; ROU asset = that liability adjusted for **favourable/unfavourable** terms vs market. Not required for leases ending within **12 months** of acquisition date or **low-value** assets.
Measurement only	Reacquired rights 29	Remaining contractual term, ignoring renewals.
	Share-based payment 30	Ind AS 102 **market-based measure** (replacement and acquiree awards).
	Assets held for sale 31	Ind AS 105 — **FV less costs to sell**.
	Insurance contracts 31A	Ind AS 117.

Memory: Recognition only = Contingent liabilities · Both = TEIL (Tax, Employee benefits, Indemnification, Lessee leases) · Measurement only = RSHI (Reacquired rights, Share-based, Held for sale, Insurance).

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Illus. 15: suit for ₹2 crore; FV of contingent liability ₹70 lakh; seller indemnifies up to ₹1 crore → liability **70 lakh** + indemnification asset **70 lakh** (net nil on goodwill). If the liability's FV were 1.2 crore → asset **capped at 1 crore**. **Illus. 16:** class actions, no reliable FV → no liability → **no indemnification asset**.

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SM Example 15: suit of ₹10 million shown only as a contingent liability by the acquiree; its FV is ₹2 million → **recognise ₹2 million** in the acquisition accounting.

19 NCI at the acquisition date 19 · B44–B45

→ NCI that are **present ownership interests** entitling holders to a proportionate share of net assets on liquidation (ordinary shares): choose, **combination by combination**: (a) **fair value** → full goodwill; or (b) **proportionate share of identifiable net assets** → partial goodwill.

→ **All other components** of NCI (e.g. preference shares not entitled to a share on liquidation, equity component of convertibles, share options) → **FV**, unless another Ind AS requires otherwise.

→ FV per share of NCI may differ from the acquirer's (control premium / lack-of-control discount).

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Illus. 29: 60% for 97.5; net assets 150; FV of 40% NCI 65 → FV method: NCI 65, goodwill 97.5 + 65 − 150 = **12.5**. Proportionate: NCI 60, goodwill **7.5**. **SM TYK 4:** 90% for 85; NCI FV 15; net assets 100 → NCI **15** or **10**.

20 Goodwill 32–33

Goodwill = (a) Consideration (FV) + (b) NCI + (c) FV of previously held interest − (d) Net identifiable assets (Ind AS 103 values)

→ Only equity exchanged and the **acquiree's equity FV is more reliable** → use it in place of consideration 33. No consideration → use FV of the acquirer's interest.

→ Not amortised. Allocated to CGUs; **impairment test annually** (Ind AS 36). With partial goodwill, gross up for NCI when testing.

21 Bargain purchase 34–36A Indian carve-out

1. If (d) exceeds (a) + (b) + (c): first **reassess** — identification of all assets and liabilities, and measurement of net assets, NCI, old stake and consideration.
2. Gain still there and **clear evidence of the reason** (forced/distress sale) → **OCI** → accumulate in equity as **capital reserve**.
3. **No clear evidence** → directly in equity as **capital reserve**.
4. Gain belongs to the **acquirer** (not NCI). **Never P&L** (IFRS 3 takes it to P&L).

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Illus. 21: 80% for ₹15 crore; net assets 20 crore; NCI (FV) 4.2 crore; sellers forced to sell by a deadline → 20 − 19.2 = **₹80 lakh to OCI** → **capital reserve**. **SM TYK 8:** 400 − (300 + 84) = **16**. **SM TYK 6:** 70% for 5 million; net assets 10 million; NCI proportionate 3 million → **2 million** gain.

22 Measurement period 45-50

→ Initial accounting incomplete at the reporting date → report **provisional** amounts.

→ Adjust them **retrospectively** (against **goodwill**; comparatives revised, e.g. depreciation) for new information about **facts and circumstances that existed at the acquisition date**; also recognise additional assets/liabilities.

→ Ends when the information is obtained or learned unobtainable — **max 1 year** from acquisition date.

→ Information about **events after** acquisition (new contract, default after the date) → **not** a measurement-period adjustment → other Ind AS / P&L. After the period → only **Ind AS 8 error correction**.

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Illus. 22: DTA on losses not recognisable at acquisition; big contract won later → **no goodwill change** (new event). **Illus. 23:** claim provisionally 1 crore; customer's further evidence (about day-1 facts) within period shows 2 crore → **adjust goodwill by 1 crore**. **SM TYK 3:** borrower's results for a period before acquisition → adjust goodwill; borrower's later loss of a customer → P&L.

23 What is part of the business combination 51-52 · B50

Account only for what was exchanged **for the acquiree**. These are **separate transactions**:

→ (a) **settling a pre-existing relationship** between acquirer and acquiree;

→ (b) **remunerating employees or former owners for future services**;

→ (c) **reimbursing** the acquiree or former owners for the **acquirer's** acquisition-related costs.

Factors B50: the **reasons** for the transaction · **who initiated** it · its **timing**. Mainly for the acquirer's benefit → separate.

Settling a pre-existing relationship B51-B53

→ **Non-contractual** (lawsuit) → gain/loss at **fair value**.

→ **Contractual** (supplier, licensor) → gain/loss = **lower of** (i) amount by which the contract is **favourable/unfavourable vs current market terms** and (ii) any **stated settlement provision** available to the counterparty to whom it is unfavourable. If (ii) < (i), the difference is part of the business combination.

→ Adjust for any asset/liability already recognised for the relationship.

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Illus. 24: acquirer had recognised ₹10m for a patent suit by the acquiree; FV of settlement at acquisition ₹20m → ₹20m treated as **paid to settle the suit** (out of the price); **₹10m loss in P&L**.

CASE STUDY

24 Contingent payments to employees / selling shareholders B54–B55

Indicator	Points to remuneration (post-combination expense) when…
(a) Continuing employment	payments are **automatically forfeited if employment ends** → **remuneration** (conclusive)
(b) Duration of employment	required employment period ≥ payment period
(c) Level of remuneration	other pay is **below market**
(d) Incremental payments	employee-sellers get **more per share** than non-employee sellers
(e) Number of shares owned	sellers who stay own a large share — check substance
(f) Linkage to valuation	initial price at the **low end** of the valuation range → payment is more likely **consideration**
(g) Formula	**multiple of earnings** → consideration; **% of earnings** → profit sharing (remuneration)
(h) Other agreements	non-competes, leases, consultancy at off-market terms

ICAI ·

Illus. 25: USD 20m + USD 2m if EBITDA margin 21% **and** the owner-KMP stays 2 years → forfeited on leaving → consideration **USD 20m only**; USD 2m = **employee cost**. **Illus. 26:** employee-shareholders get extra ₹1.5–2 crore forfeitable on leaving → **remuneration**.

25 Share-based payment awards of the acquiree B56–B62

→ **Replacement awards** (acquirer obliged to replace): part in consideration = market-based measure of the **acquiree award** × vesting period completed ÷ **greater of** total vesting period and original vesting period. Rest (and any excess of replacement over acquiree award) → **post-combination expense**. Not obliged (award would lapse) → **all expense**.

→ **Not replaced**: vested → **NCI** at market-based measure; unvested → pre-combination part to **NCI**, rest expensed over the remaining vesting period.

ICAI ·

Illus. 27: original FV 500, 2 of 5 years served, replacement FV 600 vesting in 2 more years → **500 × 2/5 = 200** in consideration; 600 − 200 = **400** expensed over 2 years. **Illus. 28:** not replaced, FV 500 → **200 to NCI**; 300 expensed over 2 years.

26 After the acquisition date 54–58

Other Ind AS apply, except: **reacquired rights** — amortise over remaining term · **contingent liabilities** — higher of Ind AS 37 amount and initial amount less income · **indemnification assets** — same basis as the item, derecognise only when collected/sold/lost · **contingent consideration** — §12.

27 What is common control App C · 2–7

> ***Common control business combination*** — a business combination involving entities or businesses in which **all the combining entities are ultimately controlled by the same party or parties both before and after** the combination, and that control is **not transitory**.

→ The controlling party may be an **individual**, or a **group of individuals acting together under a contractual arrangement** — they need not prepare Ind AS FS.

→ The extent of **NCI is irrelevant**.

→ Examples: merger of fellow subsidiaries · subsidiary into parent · transfer of a subsidiary within the group · demerger of a division to a group company.

→ **Transitory** control (arranged briefly just to fit Appendix C before a real change of control) → normal acquisition method.

ICAI illustration	Common control?
Illus. 30 — Z (group subsidiary) acquires sister company Y from parent X for its own shares	**Yes — X controls all before and after**
Illus. 31 — B, C, D (25% each) have a shareholders' agreement to act jointly in both companies	**Yes — group with contractual arrangement (75%)**
Illus. 32 — same holders, no agreement to vote together	**No**
Illus. 33 — ABC buys Y on 1 Apr, transfers it to subsidiary X on 2 Apr	**Yes, for X (ABC controls before and after); ABC itself used acquisition method**
Illus. 35 — A puts B under new subsidiary C (bank-funded, cash paid)	**Yes — pooling at carrying amounts, not FV**
SM TYK 7 — Mr. Ram given shares briefly to "control" both, then real change of control	**No — transitory; acquisition method**

28 Pooling of interests method App C · 8–12

1. Assets and liabilities at their **carrying amounts** (in the consolidated FS of the parent, where relevant).
2. **No fair value adjustments**, no new assets/liabilities, **no goodwill**. Only adjust to **harmonise accounting policies**.
3. Prior-period figures **restated** as if the combination had occurred from the **beginning of the preceding period** presented — or from the date common control began, if later 9(iii).
4. **Consideration**: securities at **nominal value**; other assets (cash etc.) at **fair value**.
5. **Reserves**: the **identity of reserves is preserved** — transferor's reserves appear in the transferee's FS in the same form. Transferor's balance of retained earnings: aggregate with the transferee's, or transfer to general reserve.
6. Capital reserve = (Share capital issued + cash/other consideration) vs Transferor's share capital — difference → present **separately** from other capital reserves, disclose nature and purpose.

ICAI ·

Illus. 34: combination on 1 Oct 20X9, year end 31 Mar, both always under common control → restate from **1 April 20X8** (start of comparative year). If common control began only on 1 Oct 20X8 → restate **from 1 Oct 20X8**.

ICAI ·

Illus. 36–37 (demergers): division transferred to a group company → **book values**; difference in the transferor's books = gain/loss on reconstruction (Illus. 36: Mobiles division sold for ₹25 crore → **₹100 crore gain** to P&L as per ICAI entry).

29 Disclosures — common control App C · 13

Names and general nature of business of the combining entities · date of combination · description and number of shares issued, with % of each entity's equity exchanged · amount of any difference between consideration and share capital, and its treatment.

30 Disclosures — acquisition method 59-63 · B64-B67

For each combination in the period (and those after the reporting date, before approval):

- → name and description of acquiree; acquisition date
- → % voting equity acquired
- → primary reasons and how control was obtained
- → qualitative factors making up goodwill (synergies, workforce)
- → FV of consideration by class (cash, shares, contingent)
- → contingent consideration and indemnification assets: amount, basis, range
- → acquired receivables: FV, gross contractual amount, expected uncollectable
- → amounts recognised for each major class of assets and liabilities
- → contingent liabilities recognised / not recognised and why
- → goodwill expected to be tax-deductible
- → separate transactions; acquisition-related costs and where expensed
- → bargain purchase: amount, line item, reasons
- → NCI amount and measurement basis
- → step acquisition: FV of old stake and gain/loss
- → acquiree's revenue and profit since acquisition date; combined revenue and profit as if acquired at start of year

31 Model sentences for theory answers

✍ Write in exam

"As per Appendix A of Ind AS 103, a business is an integrated set of activities and assets capable of being conducted and managed for the purpose of providing goods or services to customers, generating investment income or other income from ordinary activities. To be a business, it must include, at a minimum, an input and a substantive process that together significantly contribute to the ability to create output (para B8)."

✍ Write in exam

"As per para B7A, the entity may elect the concentration test. Since substantially all of the fair value of the gross assets acquired is concentrated in a group of similar identifiable assets, the test is met; the acquired set is not a business and the transaction is accounted for as an asset acquisition — cost allocated on relative fair values, no goodwill (para 2(b))."

✍ Write in exam

"As per para 34-36 of Ind AS 103, since the net identifiable assets exceed the consideration plus NCI, after reassessment, the excess is recognised in OCI and accumulated in equity as capital reserve as there is clear evidence of the underlying reason for the bargain purchase."

32 Traps examiners use

Trap	Correct position
Revenue continues after acquisition, so it's a business	*Continuing revenue alone isn't enough (B8A); need input + **substantive process***
Outsourced service contracts = process	*A contract is an **input** (B12D); check if it gives a controlled organised workforce*
Concentration test failed, so it's a business	*No — do the full assessment*
Contingent liability not probable → ignore	*Recognise if present obligation + reliable FV (para 23)*
Due diligence added to investment/goodwill	***Expense** (para 53); share issue cost → equity*
Contingent consideration change → adjust goodwill	*Only for **day-1 facts within 12 months**; otherwise equity: nil, liability: P&L*
Bargain purchase gain → P&L	***OCI → capital reserve** or **directly capital reserve***
Agreement says "effective 1 April"	*Acquisition date = date **control** obtained*
Assembled workforce recognised as intangible	*Not identifiable → part of goodwill*
Common control → fair values and goodwill	***Carrying amounts**, no goodwill, restate comparatives*
NewCo issuing shares = acquirer	*No — one of the existing entities (B18)*

THEORY MARKS

Ind AS 110 — Consolidated FS

33 Who presents consolidated FS 2-4

> **Parent** — an entity that controls one or more entities. **Subsidiary** — an entity controlled by another. **Group** — parent + subsidiaries. A parent **shall present consolidated FS**.

Exemption — available only if ALL four are met 4(a)

1. it is a **wholly-owned subsidiary**, or a partly-owned subsidiary whose other owners (incl. those not otherwise entitled to vote) have been **informed and do not object**;
2. its debt or equity instruments are **not traded in a public market**;
3. it did not file, and is not filing, its FS with a securities regulator **to issue instruments in a public market**;
4. its ultimate or any intermediate parent produces **Ind AS consolidated FS available for public use**.

ICAI ·

Unit 3 Illus. 1: parent X (listed, Ind AS CFS) doesn't object → A is exempt. Parent's CFS **not under Ind AS** → not exempt. Parent is **an individual** (no public Ind AS FS) → not exempt. **Illus. 2:** C held 60% by A and 40% by B (A's 100% subsidiary) → effectively wholly owned by A → no need to inform B; exempt.

→ **Not in scope:** post-employment / long-term employee benefit plans (Ind AS 19) — e.g. gratuity trust; an **investment entity** measuring all subsidiaries at FVTPL (§41).

→ Ind AS has **no exclusion** for temporary control or severe long-term restrictions (unlike old AS 21).

34 Control — the definition 5-9 · B2

> An investor **controls** an investee when it is **exposed, or has rights, to variable returns** from its involvement and has the **ability to affect those returns through its power** over the investee. Control exists **if and only if** the investor has **all three**:
> **(a) power over the investee** · **(b) exposure, or rights, to variable returns** · **(c) ability to use its power to affect the amount of its returns**

→ Consider **all facts and circumstances**; **reassess** when facts indicate a change in any of the three 8 · B80–B85.

→ Two or more investors that must **act together** to direct relevant activities → **no one controls** → joint control (Ind AS 111) or significant influence (Ind AS 28) or Ind AS 109 9.

Factors to assess B3

(a) **purpose and design** of the investee · (b) what the **relevant activities** are and how decisions about them are made · (c) whether the investor's rights give it the **current ability** to direct them · (d) whether it is **exposed to variable returns** · (e) whether it can **use its power to affect** its returns.

ICAI ·

Illus. 14: PQR designed XYZ (power plant SPV) → involvement in design **may indicate** power but is **not enough alone**. **Illus. 16:** A depends entirely on B for packing material → commitment to ensure B operates as designed is an **indicator**, not conclusive.

35 Power 10-14 · B9-B34

> An investor has **power** when it has **existing rights** that give it the **current ability to direct the relevant activities**. Power arises from rights; the ability need not be exercised. Evidence of past direction helps but isn't required.

> **Relevant activities** — activities of the investee that **significantly affect its returns**: selling/purchasing goods or services · managing financial assets · selecting/acquiring/disposing assets · R&D · determining funding structure · **decisions on operating and capital budgets** · **appointing/remunerating/terminating KMP** B11-B12.

→ Different investors direct **different** relevant activities → the one directing the activities that **most significantly affect returns** has power 13 · B13.

→ Activities only arise on **particular events** (e.g. default) → the right to direct them then can be power B53.

ICAI ·

Illus. 3: A builds a toll road SPV (2 years); B runs it thereafter and takes the residual cash → B controls **from inception** (operation is the most significant; A is like a contractor). **Illus. 4:** asset manager holding 10% units takes investment decisions → has **power**, but still check returns and link. **Illus. 5:** asset manager directs until defaults hit a threshold, then the debt investor → each must judge who directs the activities that most significantly affect returns. **Illus. 15:** receivables SPV — investor manages defaulted receivables (the only significant activity) → **power**.

Rights that can give power B15

(a) **voting / potential voting rights** · (b) rights to **appoint, reassign or remove KMP** · (c) rights to appoint or remove **another entity that directs** · (d) rights to **direct the investee into transactions** (or veto changes) for the investor's benefit · (e) other rights, e.g. **management contracts**.

36 Substantive rights B22-B25

Only **substantive** rights count — the holder must have the **practical ability to exercise** them when decisions need to be made. Barriers that make a right **non-substantive**:

→ **financial penalties** or incentives that deter exercise; an exercise or conversion price that makes it uneconomic;

→ terms that make exercise unlikely (narrow time window); **no mechanism** to exercise;

→ holder **can't obtain information** needed to exercise;

→ operational barriers — e.g. **no other manager** willing/able to take over;

→ legal or regulatory barriers (e.g. foreign investor prohibited);

→ rights held by **many parties** who would need to agree — the more parties, the less likely substantive;

→ whether the holder would **benefit** from exercising them.

ICAI ·

Illus. 6: investors gave decision rights to A for 5 years; taking them back triggers a **huge penalty** → not substantive. Dissenting investors **lack a majority** → not substantive. **Illus. 7:** option far **out of the money**; too-narrow exercise window; **no information** on market value → all **not substantive**. **Illus. 8:** right to remove fund manager, but **no replacement** manager available → not substantive.

37 Protective rights B26-B28 · B29-B33

- → Designed to **protect the holder's interest** without giving power; usually apply to **fundamental changes** or **exceptional circumstances**. They **never** give power and **can't prevent** another party from having power.
- → Examples: lender restricting the borrower from activities that change its credit risk · NCI's right to approve capex beyond the ordinary course, or issue of equity/debt · lender's right to seize assets on default.
- → **Franchise** rights protecting the brand are generally protective; the franchisee may still have power.

ICAI ·

Illus. 9: ABC (brand owner) franchise to PQR, which funds the outlet, hires staff and picks vendors → ABC's rights **protect the brand** → **protective**; PQR has power.

38 Power from voting rights B34-B50

Situation	Power?
Majority of votes B35-B37	Yes, if relevant activities are directed by majority vote (or a majority of board appointed by it) — **unless** those rights aren't substantive or another party directs the activities by contract.
Less than majority B38	Possible through: (a) contractual arrangement with other vote holders · (b) rights from other contracts · (c) the investor's voting rights (**de facto power**) · (d) potential voting rights · (e) a combination.
De facto power B41-B45	Look at the **size of holding relative to** the size and **dispersion** of others · how many parties must act together to outvote · other rights · **voting patterns** at past meetings. If still unclear → **no control**.

ICAI ·

Illus. 10: 45%, thousands of others each ≤1%, no arrangements → **more likely power**. **Illus. 11:** 40%, six others at 10% each → **less likely** (only a few need to combine). **Illus. 12:** 35%, three at 5%, rest dispersed, but others **actively vote** at meetings → **no practical ability** → no power.

Potential voting rights B47-B50

- → Options, warrants, convertibles count only if **substantive** — exercisable when decisions need to be made, and exercise is **economically sensible** (consider exercise price, purpose and design, the holder's other involvement).
- → Not just "currently exercisable": a right exercisable in 25 days can be substantive if the next decision is due later.

ICAI ·

Illus. 13: A holds one-third of votes + debt **convertible at any time** at a fixed price, substantive → **A has power**.

39 Exposure to variable returns 15-16 · B55-B57

- → Returns that **vary with the investee's performance** — can be positive, negative or both. Judge on **substance**: even a "fixed" interest coupon is variable because of credit risk.
- → Examples: **dividends**, interest, changes in value of the investment · **fees** for servicing assets or liabilities · fees and exposure from credit or liquidity support · **residual interests** on liquidation · **tax benefits** · access to future liquidity · returns **not available to others** — synergies, economies of scale, cost savings, scarce products, proprietary knowledge.
- → Only one investor can control; many can share returns (e.g. NCI).

40 Link — principal or agent? 17–18 · B58–B75

*A decision-maker with power that acts as an **agent** (on behalf of others) **does not control**. Weigh together:*

Factor	Points to agent when…
(a) Scope of authority	*narrow, pre-set mandate; others involved in design*
(b) Rights held by others	***substantive removal (kick-out) rights** held by a **single party** → agent, conclusively; held by many dispersed parties → less weight*
(c) Remuneration	***commensurate with services** and on **market terms** (both needed to be an agent)*
(d) Exposure from other interests	***small** variability vs total; the bigger and more subordinated the exposure, the more likely a principal*

- → ***De facto agents*** B73–B75*: parties acting on the investor's behalf (related parties, parties that can't sell or pledge without consent, KMP, entities financed by the investor) — consider their rights together with the investor's.*
- → ***Silos*** B76–B79*: a ring-fenced portion of an investee whose assets fund only specified liabilities → assess control of the silo separately.*

ICAI ·

***Illus. 17:** fund manager, narrow mandate, market fee, small stake → **agent**. **Illus. 18:** wide discretion but **substantive removal rights** held by investors (board) → **agent**. **Illus. 19:** asset manager holds **35% subordinated equity** (first loss) → **principal** → **controls**. **Illus. 20:** sponsor gives credit enhancement and liquidity support and takes residual return → **principal**.*

41 Investment entities 27–33 · B85A–B85W

> *An **investment entity** (a) **obtains funds from one or more investors** to provide them investment management services; (b) **commits to its investors** that its business purpose is to invest funds **solely for capital appreciation, investment income, or both**; and (c) **measures and evaluates substantially all investments on a fair value basis**.*

- → ***Typical characteristics*** 28*: more than one investment · more than one investor · investors not related parties · ownership interests in the form of equity or similar. Missing one doesn't automatically disqualify — judgement and disclosure.*
- → *Must have **exit strategies** for its equity and non-financial investments (not needed for debt with fixed maturity)* B85F–B85H*.*
- → *It and its group must **not obtain other benefits** from investees not available to unrelated parties (e.g. rights to acquire investees' assets/technology below market, guarantees, off-market transactions)* B85I*.*
- → *Investment-related services to investees and support are allowed if not a **substantial separate business** or separate substantial income* B85C–B85E*.*
- → ***Accounting**: does **not consolidate**; measures subsidiaries at **FVTPL** (Ind AS 109) — **except** a subsidiary that is not itself an investment entity and mainly provides **investment-related services** → consolidate it* 31–32*.*
- → ***Parent of an investment entity** that is not itself one → consolidates **all** subsidiaries, including those held through the investment entity* 33*.*
- → ***Change of status** (prospective)* B100–B101*: **ceases** → subsidiary deemed acquired at FV on that date (goodwill = FV of investment + NCI − net assets); **becomes** → stop consolidating, FV gain/loss in P&L as on loss of control.*

ICAI ·

Unit 3 Illus. 21: fund gives support services to investees → OK only if not a substantial business/income. **Illus. 22:** exit strategies for equity, none for fixed-maturity debt → condition **met**. **Illus. 23:** fellow subsidiary gets investees' patents **below market** → **not** an investment entity. **Illus. 24:** parent T holds options to buy HTF's investments + no exit strategies → **not** an investment entity. **Unit 4 Illus. 35:** ceases at 80%: 4,00,000 + NCI 1,00,000 − 4,50,000 → **goodwill 50,000**. **Illus. 36:** becomes one: 25,00,000 − (19,00,000 + 4,00,000) = **2,00,000 gain**.

(42) Consolidation procedure — the rules 19–24 · B86–B96

Rule	What it says
Combine B86	(a) add like items of assets, liabilities, equity, income, expenses and cash flows; (b) **offset** the parent's investment against its share of each subsidiary's equity (goodwill per Ind AS 103); (c) **eliminate in full** intra-group assets, liabilities, equity, income, expenses, cash flows and unrealised profits (deferred tax under Ind AS 12 on the eliminations).
Uniform policies 19 · B87	Like transactions in similar circumstances. Depreciation **method** is an estimate (Illus. 6); different cost formulas allowed for inventories of different nature/use (Illus. 7).
From–to 20 · B88	Consolidate from the date **control is obtained** until it is **lost**. Income and expenses are based on **acquisition-date FV** (e.g. depreciation on FV).
Potential voting rights B89–B91	Profit and NCI share based on **present ownership**, not potential rights — unless they give **present access to returns**.
Reporting dates B92–B93	Same date; else extra FS, or the latest FS adjusted for significant transactions — gap **max 3 months**, length of periods and gap consistent. Current/non-current by **group** date (Illus. 8); align local GAAP to Ind AS (Illus. 9: breach waived after year end → non-current under Ind AS).
NCI 22 · B94–B95	Present **within equity**, separately. Profit/OCI attributed to owners and NCI **even if NCI becomes negative** (Illus. 19). Cumulative preference shares held by NCI → deduct their dividend **whether declared or not**.
Change in stake, control kept 23 · B96	**Equity transaction** — §52.
Loss of control 25 · B97–B99	§53.

14 MARKS

43 Every answer = 5 working notes, in this order

WN	What	Formula
1	S's reserves: pre & post	Pre = balance on acq. date · Post = Closing − Pre − adjustments
2	Net assets on acq. date	S's share capital + Pre-acq reserves ± FV changes − S's own goodwill
3	Goodwill / capital reserve	Consideration + NCI + FV of old stake − WN 2
4	NCI at year end	NCI on acq. date + NCI% × Post − NCI% × GW impairment (FV method only)
5	Group other equity	P's reserves + P% × Post ± items P bears alone

Balance sheet line = P + S ± FV change ± intra-group cancellation. **Only P's share capital** appears. Investment in S disappears.

44 Splitting S's reserves — the passbook

Write S's RE like a **bank passbook**: events in **date order** with a running balance.

1. Profit earned in the year = **Closing − Opening + Dividend paid** (dividend went out, so put it back).
2. Spread it evenly over the months (unless told it's seasonal).
3. Put each dividend on **its date**. The running balance must end at the closing RE ✓.
4. **Pre-acq = balance on acquisition date.** Post-acq = Closing − Pre-acq. Do **each reserve separately**.

SM TYK 5 — Ram buys 60% of Krishan on 1 Oct; dividend ₹40,000 paid 1 Nov

Earned = 1,64,000 − 60,000 + 40,000 = 1,44,000 → 72,000 per half year.

Date	Event	Change	Balance
1 Apr	Opening		60,000
Apr–Sep	Profit	+72,000	1,32,000
1 Oct	**Ram buys**		**1,32,000 = PRE**
1 Nov	Dividend	−40,000	92,000
Oct–Mar	Profit	+72,000	1,64,000 ✓

Post-acq = 1,64,000 − 1,32,000 = **32,000**. Ram's ₹24,000 dividend: **leave it in Ram's RE**. Check: 24,000 + 60% × 32,000 = 43,200 = 60% × 72,000 ✓ nothing lost, nothing double. Same dividend paid in **May** (before Ram bought) → pre-acq 92,000, post-acq 72,000.

45 Dividends — only the date matters

Situation	Treatment
Paid **before** P bought	Before "P buys" in the passbook → lowers pre-acq. P got nothing.
Paid **after** P bought (any profit)	After "P buys" → lowers post-acq. **Keep** P's dividend income.
Declared, **unpaid** at year end	As above + cancel P's receivable vs P's share of payable. **NCI's share stays** as a liability.
Proposed, approved **after** year end	**Ignore** (Ind AS 10 · 12). Not in the passbook.
Declared but "not accounted" by anyone	State assumption: ignore / declared unpaid / paid. ICAI accepted all three (PYQ May 2024).
Bonus issue by S	No effect — reserves move to share capital inside S (PYQ May 2024).

⚠ TRAP

ICAI's printed answers write it another way: take the dividend out of **pre-acq** and take P's share out of **P's RE**. Same final figures. **Pick one way — never both.**

46 Fair value changes — each goes to 3 places

FV change = FV − Book value, both on the acquisition date

Item	Net assets (WN 2)	Post-acq profit (WN 1)	Balance sheet line
PPE worth more	+ increase	− extra dep (months held)	+ increase − extra dep
PPE overvalued	− decrease	+ dep saved	− decrease + dep saved
Land worth more	+ increase	nothing	+ increase
Brand not in S's books	+ value	− amortisation	New intangible
Goodwill in S's own books	− remove	nothing	Not shown
Inventory, still unsold	± change	nothing	± change
Inventory, sold in year	± change	reverse (cost of sales)	nothing
Liability worth more	− increase	nothing till settled	+ to liability
Contingent liability	− FV	reverse if no payment	Liability / nil
Deferred tax (if rate given)	− DTL on FV increases	+ DTL reversal on extra dep	DTL line

ICAI: PYQ Nov 2024 (PPE +300, dep 30; inventory −300 kept) · SM TYK 8 (building 300 ÷ 20 = 15; inventory sold → reversed) · PYQ Sep 2025 (machinery overvalued; S's goodwill removed) · PYQ Jan 2026 (brand ₹8 lakh ÷ 10) · RTP Nov 2023 (contingent liability reversed; DT at 20%) · SM TYK 9 (deferred tax on FV adjustment).

47 FV given as a total value on a mid-year date

"FV of P&M on 1 Oct was ₹4,00,000; depreciation 10%." Only the 31 Mar book value (₹2,70,000) is given. — SM TYK 5

1. Book value on 1 Oct: opening 2,70,000 + 30,000 = 3,00,000 − 6 months' dep 15,000 = **2,85,000**
2. Increase = 4,00,000 − 2,85,000 = **1,15,000**
3. Extra dep = dep on FV for 6 months (20,000) − dep S charged (15,000) = **5,000**

⚠ TRAP

4,00,000 − 2,70,000 is **wrong**: it compares a 1 Oct value with a 31 Mar value.

48 Intra-group items — cancel, then ask who bears it

Item	Do	Who bears
Goods **P** → **S** in S's stock	Remove profit from inventory	**P only**
Goods **S** → **P** in P's stock	Remove profit from inventory	S's post-acq (P + NCI)
Machine sold in group	Remove gain; add back extra dep on it	The seller
Receivable / payable	Cancel what both show; cash in transit → add to cash first	Nobody
Bills	Cancel bills still held; **discounted** bills stay (owed to bank)	Nobody
P holds S's debentures / pref. shares	Cancel at face value; excess paid = loss	Group RE; outside pref. → NCI
Goods P → associate	Remove only P%, from the investment	Group RE
Deferred tax on unrealised profit	DTA at buyer's rate, if a rate is given (SM Illus. 16–17)	Same as the profit

"Cost + 25%" → price × 25/125 · "20% on sales" → price × 20% SM Illus. 14–15: unrealised profit 15 → upstream split 60:40; downstream all P. Illus. 18: PPE sold 120 (cost 100), 10 years → PPE −18, depreciation −2.

49 NCI and group equity

NCI at year end

NCI on acq. date + NCI% × post-acq profit

− NCI% × GW impairment **(FV method only)**

+ S's pref. shares held by outsiders

Can go **negative** — losses still go to NCI B94 (Illus. 19)

Items P bears alone (WN 5)

Profit on goods/machines **P sold** to S

GW impairment (all, or P% under FV)

Loss on S's debentures/pref. held by P

Interest on deferred consideration

+ Gain on old stake · + share of associate

ICAI ·

Illus. 20 (four cases, proportionate NCI): Case 1 — 90% for 1,40,000; net assets 1,50,000 → NCI 15,000; **goodwill 5,000**. Case 2 — 85% for 1,04,000; net assets 1,30,000 → NCI 19,500; **capital reserve 6,500**. Holding's RE adds 90% × (70,000 − 50,000) = 18,000 in case 1; deducts 85% × 10,000 = 8,500 in case 2 (post-acq loss).

50 Special structures

Structure	Rule
Chain P → S → T	P in T = P% × S%; NCI in T = rest. T's goodwill uses S's cost × P%. S's NCI reduced by S's cost of T × S's NCI%. If S bought T after P bought S, split T's reserves at the date S bought T. (SM Illus. 29: 80% × 75% = 60%; capital reserve 105 + 83 = 188; NCI 166.2)
Indirect goodwill	S (80% owned) buys T outright → group shows **100%** of T's goodwill, 20% attributed to NCI (SM Illus. 27).
Associate inside the group	One line, equity method: cost + P% × post-acq profit − P% × unrealised profit. Cost below P% of net assets → capital reserve. S's associate: group takes S's equity-accounted figure; NCI of S shares it (SM TYK 2: 75; profit 9 to M, 1 to NCI).
Different year ends	Max 3 months gap; adjust for big transactions.

51 Five checks before you move on

#	Check	Proof on ICAI's PYQ Nov 2024 (₹ Lakh)
1	Every point used (tick a tracker; scan the balance sheet for "in S", "due from", "dividend", "bills")	7 points + debentures found only in the balance sheet
2	Balance sheet agrees	34,875 = 34,875
3	**NCI = NCI% × (S's closing equity + FV changes left − upstream profit) + NCI's goodwill**	20% × (9,000 + 270 − 300) = 1,794 + (1,450 − 1,400) − 20 = **1,824** ✓
4	Goodwill split: P's = Cost − P% × WN 2	(5,800 − 5,600) + (1,450 − 1,400) = **250** ✓
5	Each cancellation equal on both sides	Receivable 160 = payable 120 + cheque 40 ✓

Check 3 passes → your pre/post split, dividend, FV and NCI are ***all right.*** (Also proves SM TYK 5: 40% × 10,84,000 = 4,33,600.)

→ **Stuck?** Unticked tracker rows = what's left. Unclear fact → **one assumption line**, move on. Doesn't agree after 3 min → finish the rest. **Never force a balancing figure.**

52 After day 1: does P still control?

After the deal	Consolidated FS	P's separate FS
Still controls	Equity transaction · **no P&L** · goodwill unchanged 23 · B96	Gain = price − cost × % sold
Control lost	Gain/loss in **P&L**; stake kept at **FV** 25 · B98	Gain = price − cost of shares sold

Sell, still control: Other equity = Cash − % sold × (Net assets + Goodwill)

Buy from NCI: Other equity = NCI × (% bought ÷ NCI%) − Cash paid

Control lost: Gain = Cash + FV of stake kept − (Net assets + Goodwill − NCI) ± OCI recycled

ICAI question	Working
SM Illus. 21 — sell 20% of 100%	Cash 100 − NCI 60 (20% × 300) = **40 to equity**
SM Illus. 25 — sell 40% of 100%, keep control	Group: 900 − 40% × 1,800 = **180 to equity** · Own FS: 900 − 400 = 500; gap 320 = post-acq profit already in group
SM Illus. 26 — sell 30%; net assets 1,300 + goodwill 200	500 − 450 = **50 to equity**
SM Illus. 23 — buy 10% more of 70%	6,600 ÷ 30 × 10 = 2,200 vs 2,600 → **400 debit equity** (Illus. 22: 2,000 debit; Illus. 24: 2 debit)
SM Illus. 31 — sell all 80% (goodwill 12,000 after impairment)	Group: 2,00,000 − (80% × 2,25,000 + 12,000) = **8,000 gain** · Own FS: 40,000
SM Illus. 32 — sell 60%, keep 40% associate	67.5 + 45 − 90 = **22.5 gain** (incl. 9 from remeasuring the 40%) · Own FS 37.5
SM Illus. 33 — sell 90%, keep 10%	85.5 + 9.5 − 90 = **5 gain** · Own FS 40.5
PYQ May 2023 — sell 80%, keep 20%	114 + 28.5 − (120 + 15) = **7.5 gain** · Own FS 54 (or 67.5 alt.)
SM Illus. 30 — S issues shares, P 60% → 40%	Deemed disposal: 360 − (450 + 20 − 180) = **70 gain**
SM Illus. 34 — sell 25% then 55%, linked	One transaction: 8,00,000 − (9,00,000 − 1,80,000) = **80,000 gain**
RTP Sep 2025 Q12 — A swaps 100% of B for 75% of C	Control of B kept (75%): **37,500 to equity**; goodwill on C 62,500

53 Loss of control — step by step B97–B99

1. Derecognise S's assets, liabilities **and goodwill**; derecognise NCI (incl. its OCI).
2. Recognise consideration received (and any distribution of shares to owners) and the **stake kept at FV** (= initial Ind AS 109 FV or cost of associate/JV).
3. OCI: reclassify as if assets were sold directly — P's **FCTR** → **P&L**; **revaluation surplus** → **RE**; FVOCI equity → stays / RE.
4. Difference → **P&L**, attributed to the parent. Disclose the part from remeasuring the stake kept.

Linked sales = one deal if: same time / in view of each other · one commercial effect · one depends on the other · one isn't economic alone B97. **PYQ May 2026 MCQ 3:** 2,000 − (1,500 − 200) + FCTR 270 = **970 (A)** — my working; ICAI's answer not yet published. **SM TYK 10** keeps a 10% stake at carrying value (no FV given) — Ind AS 110.25 needs **FV**; use it when given. **SM TYK 1:** convertible preference shares give Z a veto on all decisions → X loses control (joint venture now) → derecognise; 100% equity kept at FV.

54 Separate FS of P — Ind AS 27 4 · 10–12

- → Investments in subsidiaries, associates, JVs: **cost** or **Ind AS 109** — same for each category. Held for sale → Ind AS 105 (cost-measured).
- → Dividend from S, associate, JV → **P&L when the right to receive is established**.
- → Group reorganisation with a new parent (same assets, same owners): new parent measures cost at its share of the **equity** of the original parent (Unit 7 Illus. 1).

55 SM TYK 5 — Ram Ltd. (60%) & Krishan Ltd., acquired 1 Oct 20X1

Krishan 31 Mar: share capital 4,00,000 · other reserves 2,00,000 (unchanged) · RE 1,64,000 (60,000 on 1 Apr; 10% dividend paid 1 Nov; Ram credited its share to RE) · P&M 2,70,000 (FV 4,00,000 on 1 Oct; dep 10%) · FV increases on 1 Oct: L&B 2,00,000, inventory 30,000, trade payables 20,000 (both still outstanding) · Ram's cost 8,00,000 · Ram's RE 1,14,400 · NCI proportionate.

WN	Working	₹
1 Passbook	Pre = 60,000 + 72,000 (dividend 1 Nov is after 1 Oct)	1,32,000
	Post = 1,64,000 − 1,32,000 − extra dep 5,000	27,000
2 Net assets	4,00,000 + 2,00,000 + 1,32,000 + FV (2,00,000 + 1,15,000 + 30,000 − 20,000)	10,57,000
3 Goodwill	8,00,000 + NCI 40% × 10,57,000 (4,22,800) − 10,57,000	1,65,800
4 NCI	4,22,800 + 40% × 27,000	4,33,600
5 Group RE	1,14,400 + 60% × 27,000 (Ram's 24,000 kept)	1,30,600
Other equity	Other reserves 6,00,000 + RE 1,30,600	7,30,600

Consolidated balance sheet line	Working	₹
Land & Buildings	3,00,000 + 3,60,000 + 2,00,000	8,60,000
Plant & Machinery	4,80,000 + 2,70,000 + 1,15,000 − 5,000	8,60,000
Goodwill	WN 3	1,65,800
Inventories	2,40,000 + 72,800 + 30,000	3,42,800
Trade receivables · Cash	1,99,600 · 45,000	2,44,600
Total assets		**24,73,200**
Share capital (Ram) · Other equity · NCI	10,00,000 + 7,30,600 + 4,33,600	21,64,200
Trade payables · Bank overdraft	(94,200 + 34,800 + 20,000) + 1,60,000	3,09,000
Total		**24,73,200**

All figures match ICAI's printed answer. ICAI writes WN 5 as 1,14,400 − 24,000 + 60% × 67,000 = 1,30,600 (same result, other route).

DO IT TIMED

56 Key figures to self-check other ICAI questions

Question	Key figures
PYQ Nov 2024 Q1	Goodwill 250 → 150 · NCI 1,824 · Other equity 16,292 (₹200 lakh = cost) / 16,297 (= sale price) · Total 34,875 / 34,880
SM TYK 4 (DEF/XYZ)	P&M uplift 5,75,000 · extra dep 25,000 · bargain purchase 18,85,000 · RE 7,07,000 · Total 1,15,37,000
SM TYK 8 (Blue Heavens, 75%)	Goodwill 975 → 877 · NCI 1,284 · Other equity 11,228 · Total 18,032 (₹ lakh)
PYQ Jan 2026 Q1	Consideration 32.50 · Goodwill 20 → 15 · NCI 7.56 · RE 11.79 · Total 150.80 (₹ lakh)
PYQ Sep 2025 Q1	Capital reserve 32,62,500 · NCI 1,07,53,125 · Other equity 3,79,96,875 · Total 14,44,50,000
PYQ May 2024 Q1 (alt. A)	Goodwill 70,000 (fully impaired) · Associate 2,05,600 · NCI 2,85,000 · Total 29,90,100
PYQ Nov 2022 Q1 (chain)	Capital reserve 658 · NCI 581.70 · Total 7,833 (₹ lakh)